



Chapter Name

Economic Reforms Since 1991

→ Need of Economic Reforms

- (1) Mounting fiscal deficit
- (2) Adverse BOP
- (3) Fall in Foreign exchange reserves
- (4) Inflation
- (5) Poor performance of PSE's
- (6) Gulf Crisis

→

Segments of New Economic Policy

Stabilization measures

These are short-run measures introduced by government to control the rise in price, adverse balance of payment, and fall in foreign exchange reserve.

Structural adjustment

These are long-run policies, aimed at improving the efficiency of the economy and increasing its international competitiveness by removing the rigidity in various segments of the Indian economy.

Structural
Reforms
OR
Components of
new economic policy

— Liberalisation

— Privatisation

— Globalisation

→ Liberalisation

Liberalization means removing all unnecessary control and restrictions like permits, licenses, tariffs, quotas etc.

Economic Reforms under Liberalization:

1. Industrial sector reforms
2. Financial sector / Banking reforms
3. Fiscal / Tax reforms
4. Foreign exchange reforms
5. Foreign trade reforms.

1. Industrial Sector Reforms

- (i) Delicensing
- (ii) Decrease in the role of public sector
- (iii) Abolition of MRTP Act 1969

2. Financial Sector / Banking reforms

- (i) Change in the role of RBI
- (ii) Decrease in interest rates
- (iii) Origin of private banks

3. Fiscal / Tax reforms

- (i) Simplification of Tax structure
- (ii) Decrease in Tax rates
- (iii) Goods and Services tax

4. Foreign exchange reforms

- (i) Devaluation of rupee
- (ii) Shift from fixed exchange rate to flexible exchange rate system.

5. Foreign trade reforms

- (i) Reduction in import duty
- (ii) Removal of export duty

→ Privatisation

Privatisation is the general process of involving the private sector in the ownership or management of state-owned enterprises.

Policies adopted for Privatisation

- (i) Transfer of ownership and management
- (ii) Sale of shares of public sector enterprises.

→ Globalisation

- It refers to the process of integrating one economy with the rest of the world.

Policy promoting Globalisation

- (i) Increase in equity limit of foreign investment.
- (ii) Reduction in tariffs.

→ Outsourcing

- (i) It is an outcome of globalisation.
- (ii) Outsourcing is the business practice of hiring a party outside a company to perform services or create goods.

Services include outsourcing in India

- (1) IT
- (2) Banking Services
- (3) Accounting
- (4) BPOs
- (5) KPOs etc

India is favourite Destination for outsourcing because -

- (1) Cheap Labour
- (2) Qualified Personnel
- (3) Stable Political environment
- (4) Abundant resources

→ Goods and Service Tax

GST is a single comprehensive indirect tax that has replaced many indirect taxes like : VAT, Sales Tax etc.

- Simplification of Tax system.
- One nation, one tax

- Types of GST

- (1) SGST } → Intra-State
- (2) CGST }
- (3) IGST } → Inter-State
- (4) UTGST }

→ Demonetisation

It means withdraw of existing currency from use.

Objectives of Demonetisation

- (i) To reduce tax evasion
- (ii) To bring black money back into the banking system.
- (iii) To fight with corruption.
- (iv) To curb terrorism.
- (v) To stop circulation of fake currency.

→ World Trade Organisation (WTO)

- 1 WTO was setup in 1995, replacing GATT.
- 2 GATT was established in 1948
- 3 WTO started its operations from 1 January 1995 under Marrakesh agreement, signed by 123 countries.
- 4 As of 2016, the WTO has 164 members.

Functions WTO

- 1 To facilitate international trade
- 2 To encourage international trade
- 3 Equal opportunities to all its members.
- 4 Environment protection.
- 5 Solves dispute.

→ Key Terms

- Strategic Sale

1. Strategic sale refers to the sale of 51% or more stake of a PSU to the private sector who bids the highest.
2. The ownership of PSU is handed over to the private sector.

- Minority Sale

1. Minority sale refers to the sale of less than 49% stake of a PSU to the private sector.
2. The ownership of PSU still remains with the government as it holds 51% of stakes.

Bilateral Trade

1. It is a trade agreement between two countries.
2. This is an agreement that provides equal opportunities to both the countries.

Multilateral Trade

1. It is a trade agreement among more than two countries.
2. This is an agreement that provides equal opportunities to all the member countries in the international market.

Tariff Barriers

1. It refers to the tax imposed on the imports by the country to protect its domestic industries.
2. It includes custom duties, export-import duties.
3. It is imposed on the physical units (like per tonne) or on value of the goods imported.

Non-Tariff Barriers

1. It refers to the restrictions other than taxes, imposed on imports by the country.
2. It includes quotas and licenses.
3. It is imposed on the quantity and quality of the goods imported.

Critical Appraisal

Positive impacts

1. Increases in foreign investment and/or foreign direct investments in the Indian economy.
2. Increase in foreign exchange reserves.
3. A decrease in the inflation rates
4. Increase in the national income.
5. Increase in the exports of the country.

Negative impacts

1. The agriculture sector of the Indian economy was somehow neglected in the economic reforms since 1991.
2. Jobless growth
3. A rise in the income inequalities in the country

4. Adverse effects of the disinvestment policies could be seen.

5. Spread of consumerism.